IN THE NATIONAL COMPANY LAW TRIBUNAL, AHMEDABAD

COURT - 2

ITEM No301

CA(CAA)/38(AHM)2023

Order under Section 230-232 of Co. Act, 2013

IN THE MATTER OF:

Honest Buildcon Pvt. Ltd. **.....Applicants**
(Transferor Co.)
Swayam Shipping Servces Pvt. Ltd.
(Transferee Co.)

Order delivered on 01/08/2023

Coram:

Mr. Shammi Khan, Hon'ble Member(J)

Mr. Ajai Das Mehrotra, Hon'ble Member(T)

ORDER

The case is fixed for pronouncement of the order. The order is pronounced in open Court, vide separate sheet.

-SD-
AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

-SD-
SHAMMI KHAN
MEMBER (JUDICIAL)

IN THE NATIONAL COMPANY LAW TRIBUNAL
AHMEDABAD BENCH
COURT-II

CA(CAA) No.38/AHM/2023

[Under Sections 230-232 and read with other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016]

In the matter of Scheme of Arrangement Involving Merger of :

M/s. Honest Buildcon Private Limited

(Applicant Company No.1/ Transferor Company)

With

M/s. Swayam Shipping Services Private Limited

(Applicant Company No.2/Transferee Company)

Order pronounced on: 01.08.2023

Coram:

SHAMMI KHAN
HON'BLE MEMBER (JUDICIAL)

AJAI DAS MEHROTRA
HON'BLE MEMBER (TECHNICAL)

Memo of Parties

M/s. Honest Buildcon Private Limited
(CIN: 45201GJ2007PTC051223
(A Company incorporated under the
provisions of the Companies Act, 1956)
Having its Registered Office at;
Office No. 302, Rajkamal-1,
Plot No. 348, Ward 12B,
Gandhidham, Gujarat-370201.

.....the Applicant Company No. 1
(Transferor Company)

WITH

M/s. Swayam Shipping Services Private Limited
(CIN: U35110GJ2005PTC045900)
A Company incorporated under the
provisions of the Companies Act, 2013
Having its Registered Office at:
Office No. 302, Rajkamal-1,
Plot No. 348, Ward 12B,
Gandhidham, Gujarat- 370201

.....the Applicant Company No. 2
(Transferee Company)

Appearance:

For the Applicant : Mr. Ravi Pahwa, Advocate

ORDER

1. The present joint application is filed by M/s. Honest Buildcon Private Limited and M/s. Swayam Shipping Services Private Limited (**"Applicant Companies"**) on 07.06.2023 under Section 230-232 with other applicable provisions of the Companies Act, 2013 (the **"Act"**) read with Companies

(Compromises, Arrangements and Amalgamations) Rules, 2016. By this application, the Applicant Companies are seeking dispensation of the meetings of Equity Shareholders of both the Applicant Companies, Secured and Unsecured Creditors of the Transferor Company and further appropriate directions for convening and holding the meeting of Secured and Unsecured Creditors of the Transferee Company. The appointed date as mentioned in the Scheme is 01.04.2022.

2. Affidavits in support of this application have been sworn by Mr. Tejash M. Khakhria on behalf of the Transferor Company and Mr. Keyur G. Thakrar on behalf of Transferee Company who are the authorised representatives/directors of the Applicant Companies. The above-named authorised representatives have been authorised vide Board Resolution dated 28.04.2023 of the Applicant Companies and the said resolutions are annexed with the application.

3. The averments made by the Applicant Companies are summarised as under:-

I. The Transferor Company - M/s. Honest Buildcon Private Limited, having CIN: U45201GJ2007PTC051223 was incorporated under the provisions of the Companies Act, 1956 on 27.06.2007 with a view to carry on in India and abroad the business of developers and builders, contractors, real estate consultants, property consultants etc. A certificate of incorporation is annexed with the application.

II. The registered office of the Transferor Company is situated at Office No. 302, Rajkamal-1, Plot No. 348, Ward 12B, Gandhidham, Gujarat-370201.

III. As per the latest audited balance sheet as on 31.03.2022, the authorized, issued, subscribed and paid-up capital of the Transferor Company are as under:

Authorised Share Capital	***Amount (Rs.)***
50,000 Equity Shares of Rs. 10/- each	*5,00,000*
Total	***5,00,000***
Issued, Subscribed and Paid Up Share Capital	***Amount (Rs.)***
10,000 Equity Shares of Rs. 10/- each	*1,00,000*
Total	***1,00,000***

The Transferor Company has also filed the unaudited balance sheet as on 28.02.2023 and the same is annexed with the application.

IV. The Transferee Company – M/s. Swayam Shipping Services Private Limited, having CIN: U35110GJ2005PTC45900 was incorporated under the provisions of the Companies Act, 1956 on 18.04.2005 with a view to carry on the business of establishing, maintaining, running and operating public and private shipping transport services for the carriage of mails, passengers, goods etc. A certificate of incorporation is annexed with the application.

V. The registered office of the Transferee Company is situated at Office No. 302, Rajkamal-1, Plot No. 348, Ward 12B, Gandhidham, Gujarat-37020

VI. As per the latest audited balance sheet as on 31.03.2022, the authorized, issued, subscribed and paid-up capital of the Transferee Company are as under:

Authorised Share Capital	***Amount (Rs.)***
21,50,000 Equity Shares of Rs. 10/- each	*2,15,00,000*
Total	***2,15,00,000***
Issued, Subscribed and Paid Up	***Amount (Rs.)***

Share Capital	
7,75,420 Equity Shares of Rs. 10/- each	*77,54,200*
Total	***77,54,200***

The Transferee Company has filed the unaudited balance sheet as on 28.02.2023. The same is annexed with the application.

VII. Since the registered offices of both the Applicant Companies are situated in the State of Gujarat, this application is within the jurisdiction of the Tribunal.

VIII. The Board of Directors of both the Applicant Companies vide their Board Resolution dated 28.04.2023 have approved the Scheme of Merger.

IX. With respect to the Transferor Company, it is stated that:-

a. There are 3 (three) Equity Shareholders in the Transferor Company. Mr. Dharmendra Ganatra, Practicing Company Secretary, has issued a certificate dated 08.05.2023 certifying that there are three Equity Shareholders in the Transferor Company. All equity shareholders have given consent in writing on affidavits to the proposed Scheme and for waiving their right to convene the meeting of Equity Shareholders of the Transferor Company. The consent affidavits are annexed with the application.

b. As on 28.02.2023, the number of Secured Creditors of the Transferor Company is Nil and the number of Unsecured Creditors of the Transferor Company is 1 (One). M/s. Ketan Thacker & Associates, Statutory Auditors of Transferor Company has issued a certificate dated 08.05.2023 certifying that the Transferor Company

does not have any Secured Creditors and have sole Unsecured Creditor as on 28.02.2023. The sole Unsecured Creditor has given his consent in writing on affidavit to the proposed Scheme.

In view of the above consent affidavits, it is submitted that the meeting of the Equity Shareholders and Unsecured Creditors of the Transferor Company may be dispensed with and there being no Secured Creditor, the meeting of Secured Creditor is not required.

X. With respect to the Transferee Company, it is submitted that:-

a. There are 10 (ten) Equity Shareholders in the Transferee Company. D. Ganatra & Co., Practicing Company Secretary has issued a certificate dated 08.05.2023 certifying that there are 10 Equity Shareholders in the Transferee Company and a copy of the same is annexed with the application. Out of 10 (ten) Equity Shareholder, 9 (nine) Equity Sharehlders holding 99.99% have given their consent in writing, in the form of affidavits, in approval of the proposed Scheme of Arrangement and for waiving their right to convene the meeting of the Equity Shareholders. The said consent affidavits are annexed with the application.

b. There are 4 (Four) Secured Creditors and 183 (One hundred and eighty-three) Unsecured Creditors in the Transferee Company. M/s. Talati & Talati LLP, Chartered Accountants of the Transferee Company has issued a certificate dated 08.05.2023 certifying that the Transferee

Company has 4 Secured Creditors and 183 Unsecured Creditors.

In view of the 99.99% consent affidavits received from the Equity Shareholders of the Transferee Company, it is submitted that the meeting of the Equity Shareholders may be dispensed with and appropriate directions may be issued for convening and holding the meeting of Secured and Unsecured Creditors of the Transferee Company.

XI. There are no Foreign Shareholders or Foreign Shareholding in any of the Applicant Companies. Further, none of the Applicant Companies is listed on any stock exchange nor regulated by any Sectoral Regulatory Authorities and the proposed combination shall not attract any provisions of the Competition Act, 2002, and therefore, the RBI, SEBI, Stock Exchanges, Competition Commission of India or any other Sectoral Regulatory Authorities are not concerned with the Scheme nor their approval is required.

XII. Both the Applicant Companies have filed the certificates from the respective Statutory Auditors confirming that the proposed Accounting Treatment specified at Clause 16 of the Scheme of Arrangement is in conformity with the accounting standards prescribed under Section 133 of the Companies Act, 2013 read with rules framed thereunder as amended from time to time.

XIII. The Scheme of Arrangement does not propose any reduction in share capital of the Transferee Company nor it proposes any debt restructuring with any of the creditors of the Applicant Companies.

XIV. There are no investigations or any other legal proceedings pending against any of the Applicant Companies under any provisions of the Act.

XV. A copy of the valuation report dated 25.04.2023 issued by Mr. Pinakin Shah, Registered Valuer (Reg. No. IBBI/RV/05/2019/10728) is also placed on record.

XVI. A copy of the proposed Scheme of Arrangement is annexed to the application as Annexure-F.

4. It is submitted that the proposed merger would be in the interest of both the companies and all its stakeholders such as shareholders, creditors and employees as the proposed merger is expected to generate the following synergy, benefits and advantages which also spell out rational of the Scheme as under:

(a) *Opportunity for the shareholders of the Transferor Company to directly participate in profits and reserves of the financially sound Transferee Company;*

(b) Enhancing owned capital base by the Transferee Company by allotment of shares due to merger which will give more comfort to the secured creditors of the Transferee Company; and at the same time the Transferee Company will also be able to obtain further credit facilities from banks on most competitive terms in the combined entity due to enhanced financial strength;

(c) Enhancement in financial strength will also benefit the shareholders of both the companies in the form of addition to the value of investments;

(d) Relieving the Transferor Company from compliance cost and burden;

(e) Greater combined value of merged entity by synergy benefits which will enhance value for all the stakeholders of both the companies to the Scheme.

5. Heard the Learned Counsel for the Applicant Companies and perused the material and the documents annexed therewith.

6. Taking into consideration the submissions and documents filed therewith, we issue the following directions with respect to convening or dispensing the meeting of Equity Shareholders, Secured/Unsecured Creditors as well as the issue of notices:

In respect of the Transferor Company

i. In view of the 100% consent affidavits received from all Equity Shareholders, the meeting of Equity Shareholders of the Transferor Company is hereby dispensed with.

ii. As there is no Secured Creditor in the Transferor Company, the meeting of Secured Creditors of the Transferor Company is not required to be convened.

iii. In view of the 100% consent affidavits received from the sole Unsecured Creditor, the meeting of Unsecured Creditors of the Transferor Company is hereby dispensed with.

In respect of the Transferee Company

iv. In view of the 99.99% consent affidavits received from the Equity Shareholders, the meeting of Equity Shareholders of Transferee Company is hereby dispensed with.

v. The meeting of Secured Creditors of the Transferee Company shall be held and convened on 12.09.2023 at 10:30 AM.

vi. The meeting of Unsecured Creditors of the Transferee Company shall be held and convened on 12.09.2023 at 11:30 AM.

viii. The venue of the meetings of Secured Creditors and Unsecured Creditors of the Transferee Company shall be at Conference Hall, 201 - Rajkamal - 1, Plot No. 348, Ward 12B, Gandhidham (Kutch) - 370201.

7. At least one month before the date of the aforesaid meetings, an advertisement about the convening of the said meeting, indicating the day, date, place and time, as aforesaid, shall be published in **"Times of India"** English daily, Ahmedabad Edition and **"Kutch Mitra"** Gujarati Daily Bhuj Edition. The publication shall indicate the time within which copies of the scheme shall be made available to the concerned persons free of charge from the respective registered office of the Applicant Companies. The publication shall also indicate that the statement required to be furnished pursuant to Section 102 of the Act read with Sections 230 to 232 of the Act and the prescribed form of proxy can be obtained free of charge at

the respective registered office of the Applicant Companies in accordance with second proviso to sub-section (3) of Section 230 and Rule 7 of the Companies (CAA) Rules, 2016.

8. In addition, at least one month before the date of the meetings of the Secured and Unsecured Creditors of the Transferee Company to be held as aforesaid, a notice convening the said meeting, indicating the day, date, place and time, as aforesaid, together with a copy of the scheme, a copy of statement required to be furnished pursuant to Section 102 of the Act read with Sections 230 to 232 and Rule 6 of the Companies (CAA) Rules, shall be sent to each of the Secured and Unsecured Creditors of the Transferee Company at their respective registered or last known addresses either by Registered post or Speed Post/Airmail or E-Mail or by Courier or by Hand Delivery. The Notices shall be sent to the Secured Creditors and Unsecured Creditors of the Applicant Companies with reference to the list of Secured and Unsecured Creditors appearing on the record of the Applicant Company as on 10th February, 2023.

9. Mr. Ketan Thacker, CA (Membership no. 161050) and in his absence, Mr. Chetan Rajdev, CS (Membership no. FCS 9280) is appointed as the Chairperson for the meeting(s) and Mr. Dharmendra Ganatra, CS (Membership no. FCS4472) and failing him, Ms. Shraddha Ganatra, CS (Membership no. ACS69344) is appointed as the Scrutinizer for the aforesaid meetings.

10. The Chairman or Chairperson appointed for the aforesaid meetings shall issue the advertisements and send out the notices of the meeting referred to above. The Chairman/Chairperson is free to avail the services of the Transferee Company or any agency for carrying out the aforesaid directions.

11. The honorarium of the Chairperson for the aforesaid meetings of the Transferee Company shall be Rs. 50,000/- and the honorarium of the Scrutinizer shall be Rs. 25,000/-, in addition to re-imbursement of their incidental and out of pocket expenses. In case of unavailability of the Chairperson for any reason, the Alternate Chairperson shall discharge the responsibilities/functions of the Chairperson and shall be paid on pro-rata basis for any meeting(s) conducted at the scale of Chairperson.

12. The Chairman or Chairperson shall have all powers under the Articles of Association of the Applicant Companies and also under the Rules in relation to the conduct of meetings, including for deciding any procedural questions that may arise at the meetings or adjournment(s) to the aforesaid scheme or resolution, if any, proposed at the aforesaid meeting by any person(s) and to ascertain the decision of the sense of the meeting of the Secured Creditors and Unsecured Creditors by polling paper/ballot.

13. Voting by proxy/authorized representative is permitted provided that the proxy in the prescribed form/authorization duly signed by the person entitled to

attend and vote at the aforesaid meeting is filed with the Transferee Company not later than 48 hours before the said meeting, vide Rule 10 of the Companies (CAA) Rules, 2016 read with Section 105 of the Act.

14. The quorum for the aforesaid meeting of Secured Creditors and Unsecured Creditors of the Transferee Company shall be as prescribed under Section 103 of the Companies Act, 2013.

15. The Chairman/Chairperson is to file an affidavit of not less than 7(seven) days before the date fixed for the holding of the meetings and to report to this Tribunal that the directions regarding issuance of notices and advertisement of the meeting have been duly complied with as per Rule 12 of the Companies (CAA) Rules, 2016.

16. It is further ordered that the Chairman or the Chairperson shall report to this Tribunal on the result of the meeting in Form No.CAA.4, verified by his affidavit, as per Rule 14 of the Companies (CAA) Rules, 2016 in from No.CAA.4 within seven days.

17. In compliance of sub-section (5) of Section 230 and Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, the Transferee Company shall send a notice in Form No.CAA.3 along with disclosures mentioned under Rule 6, to (i) the Central Government through the Regional Director, North Western Region, (ii) the Registrar of Companies, Gujarat, and (iii) the Income Tax authorities (indicating the respective PAN

Nos.), (iv) Official Liquidator (in case of Transferor Company) stating that representations, if any, to be made by them shall be made within a period of 30 days from the date of receipt of such notice, failing which it shall be presumed that they have no objection to make on the proposed Scheme. The said notices shall be sent forthwith by registered post or by speed post or by courier or by hand delivery or by email at the office of the authority as required by sub-rule (2) of Rule 8 of the Companies (CAA) Rules, 2016. The aforesaid authorities, who desire to make any representation under sub-section (5) of Section 230, shall send the same to the Tribunal within a period of 30 days from the date of receipt of such notice, failing which it will be deemed that they have no representation to make on the proposed arrangement.

18. The application i.e., CA(CAA) No. 38/AHM/2023 is allowed and disposed of in terms of the above directions.

-SD-
AJAI DAS MEHROTRA
MEMBER (TECHNICAL)

-SD-
SHAMMI KHAN
MEMBER (JUDICIAL)

Rajeev Kr. Sen/P.S
Arati R. Suryavanshi/LRA